Portland Public School District 1st Reading

DATE OF FIRST READING: October 28, 2025

PUBLIC COMMENT FOR
Revision of Policy 5.50.020-P: Defense and Indemnification of District Employees and Board Members

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The Portland Public School District is providing Notice of Proposed Revised Policy and Public Comment to offer interested parties reasonable opportunity to submit data or comments on the proposed policies noted below.

Public comment may be submitted in writing directly to the district or through the district website noted below. Written comments must be submitted by 5:00pm on the Last Date for Comment listed below.

Open for Comment until at least: November 18, 2025

Summary: **Revision of Defense and Indemnification of District Employees and Board Members 5.50.020-P**

1st Reading by: **Director Michelle DePass**
Portland Public School Board, Policy Committee Chair

Referred for a 1st Reading by: Portland Public Schools Board of Education Policy Committee

Draft Policy Web Site: http://www.pps.net/draftpolicies

Contact: **Rosanne Powell,** Senior Board Manager
Address: P.O. Box 3107, Portland, OR 97208-3107
Telephone: 503-916-3741
E-mail: schoolboard@pps.net

Draft Policy Comment Form: https://forms.gle/VqYbmVA36qqADj6n6

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DRAFT REVISED POLICY/10.16.2025

Board Policy 5.50.020-P: Defense and Indemnification of District Employees and Board Members

1. Purpose and Scope

The District recognizes that employees and Board members may face legal claims arising from their official duties. This policy establishes the District's commitment to defend and indemnify employees and Board members against qualifying claims and legal actions.

2. Covered Persons

This policy applies to current and former employees of the District, and current and former Board members.

3. Covered Actions

Subject to the limitations in this policy or applicable law, the District will provide defense and indemnification for:

a. any tort claim or demand, whether groundless or otherwise, arising out of an alleged act or omission occurring in the performance of official duties, to the fullest extent provided by the Oregon Tort Claims Act, ORS 30.260 to 30.300.

b. Federal enforcement actions, including but not limited to federal agency or Department of Justice investigations and proceedings, arising out of an alleged act or omission occurring in the performance of official duties.

4. Notice Requirements

Any covered person seeking assistance under this policy must promptly notify both the Office of the Superintendent and the Office of General Counsel when:

a. A covered action may be or has been commenced against them;

b. They receive notice of any investigation or inquiry; or

c. They become aware of circumstances that may reasonably lead to a covered action.

Failure to provide timely notice may result in denial of defense and/or indemnification.

5. Defense and Indemnification

The District may provide liability insurance in amounts it determines to be appropriate for covered actions.

The District or its insurer will retain qualified counsel, in its sole discretion, to defend covered actions and may advance reasonable attorney fees and costs at a maximum rate determined by the District.

Defense and indemnification under this policy is conditioned on the covered person’s full cooperation with the defense of the covered action. Non-cooperation may result in termination of defense and/or indemnification.

The District has authority to settle claims against covered persons for whom it is providing indemnification. A covered person may reject the settlement of a claim that would be approved

by the District and for which the District would pay any settlement amounts, but such rejection shall terminate the District's defense and indemnification obligations under this policy.

6. District In-House Attorneys

a. For claims brought by governmental entities or professional licensing authorities against District in-house attorneys, expenses may be advanced or reimbursed if the District determines the claim arose from official duties. Any advancement or reimbursement constitutes part of the in-house attorney's official compensation package for purposes of ORS chapter 244.

b. Board Approval: Expenses exceeding $25,000 per claim require Board approval.

c. Advance Payment Conditions: Expenses may be paid in advance if:

    i. The District determines the attorney acted in good faith and reasonably believed the conduct was in the District's best interests; and

    ii. The attorney enters a written agreement to repay advances if ultimately not entitled to indemnification.

d. Counsel Selection: When the District pays defense expenses, the District has exclusive authority to select counsel but will consult with the in-house attorney regarding settlement terms affecting the in-house attorney's legal rights or licensing status.

e. Cooperation Requirement: In-house attorneys must cooperate fully with the District. Non-cooperation may result in termination of defense and/or indemnification.

7. Limitations and Exclusions

The District, in its reasonable determination, will not provide defense or indemnification for:

a. Gross negligence
b. Malfeasance in office
c. Willful or wanton neglect of duty
d. Criminal conduct
e. Actions initiated by the District against, or actions brought by, a Covered Person
f. Personal matters or claims unrelated to official duties
g. Actions where defense or indemnification is prohibited by law

8. Definitions

"Claim" means any threatened, pending, or completed investigation, action, suit, or proceeding, except one brought by the District.

"Official duties" means actions taken within the scope of employment or Board service, in good faith, and for a District purpose.

9. Reservation of Rights and Non-Exclusivity

a. The District may provide defense and/or indemnification under a reservation of rights and may terminate coverage if circumstances warrant.

b. This policy does not limit other defense or indemnification rights available under statute, agreement, insurance, or District action.

Legal Reference: ORS 30.260 – 30.300

History: Adopted 6/1971; Amended 6/14/1984; 11/2021; [Current Amendment Date]

Board Policy 5.50.020-P

Liability of Employees of the District

1. Defense in Civil Actions. Because the nature of the services required of employees of the District may expose them to claims arising from the performance of their duties, the District may provide liability insurance in amounts as may be determined from to time for actions brought against its employees and/or the District, as described below.

2. Notice of Claims. Any current or former employee seeking assistance under this policy shall promptly notify the Office of the Superintendent and the General Counsel that a civil or regulatory action may be or has been brought against them in their official or individual capacity related to their work or any injury on or damage to District property.

3. The District shall provide employees with the defense authorized by the Oregon Tort Claims Act.

4. This assistance in litigation shall apply in litigation arising out of performance of the employee's professional duties whether or not the employee has left the employment of the District at the time the action brought.

5. Expenses Incurred by a District in-house attorney when Claim is by a Governmental Entity or Professional Licensing Authority.

    a. Expenses incurred by District in-house attorney who is an employee of the District ("in-house attorney") in the defense of a Claim brought by a governmental entity or a professional licensing authority may be advanced or reimbursed by the District, if the District, in its sole discretion, determines that the Claim arouse out of the in-house attorney's performance of official duties. Any expenses advanced or reimbursed in excess of $25,000 per Claim must be approved by the Board of Education. Such advancement or reimbursement constitutes part of the in-house attorney's official compensation package for purposes of ORS Chapter 244. The District may decline to reimburse an in-house attorney for any expenses incurred prior to the District's written commitment to provide such payment. The in-house attorney must promptly notify the Office of the Superintendent and the General Counsel that any such claims have been brought against them.

b. Expenses shall be paid by the District in advance of the final disposition of a Claim at the written request of the in-house attorney if:

    i. The District determines, in its sole discretion, that the conduct of such in-house attorney was in good faith and that the in-house attorney reasonably believed that such conduct was in the best interests of the District; and

    ii. The in-house attorney enters into a written agreement with the District to repay such advance to the extent it is ultimately determined by the District, in its sole discretion, that such in-house attorney is not entitled to be indemnified by the District under this section or under any other indemnification rights granted by the District to such in-house attorney.

c. If the District pay expenses in defense of a claim, the General Counsel shall have the exclusive authority to select counsel and to defend against any Claim. The General Counsel will consult with the in-house attorney regarding any term of a settlement agreement that affects the legal rights or licensing status of the in-house attorney. Authority to settle claims against General Counsel is delegated to the Superintendent or the Superintendent's designee.

d. The District shall not pay for expenses under this section in the case of misconduct or gross negligence or any act or omission that may constitute criminal conduct, as determined by the District in its sole discretion.

e. The District may choose to advance or reimburse expenses to an in-house attorney under a reservation of rights. An in-house attorney shall cooperate fully with the District. If the District determines, in its sole discretion, the in-house attorney has not so cooperated or has otherwise acted to prejudice the defense of the Claim, the District may at any time terminate its obligation to advance or reimburse expenses or proceed under a reservation of rights.

f. The term “Claim” means any threatened, pending, or completed investigation, action, suit, or proceeding except one brought, made, or initiated by the District.

g. This section shall not be deemed exclusive of any other rights to which an in-house attorney may be entitled under any statute, agreement, insurance policy, general or specific action of the District, other otherwise. Any repeal of this section shall be prospective only, and no repeal or modification shall adversely affect the rights under this section in effect at the time of the alleged occurrence of any action or omission to act that is the cause of any Claim.

Legal reference: ORS 30.260 – 30.3000

History: Adopted 6/1971; Amended 6/14/1984; 11/2021